in productivity and shift in GDP towards goods and services produced inside Russia, so the signs looked promising. Putin was able to deepen the comprehensive neoliberal crusade begun in the 1990s, but also reinforced, as we shall see, the capacity of the state to intervene in the economy and control the political scene. That said, other structural weaknesses never went away, and the contradictions of this period can be seen, perhaps more than anywhere else (aside from social inequality and population decline), in the volatility of capital net flows during this period. As with other BICS (though behind China, India and Brazil), Russia saw voluminous net inflows, in this case worth over US$100 billion dollars in just the two years before the global financial crisis broke out. However, as Simon Pirani has noted, 'capital flows during the oil boom were almost all in the form of loans, rather than investment':

> In 2005, debt accounted for more than three-quarters of the total inward flow; by early 2008, it accounted for more than five-sixths, economists at the World Bank reckoned. So while the Central Bank and government, following best market practice, accumulated nearly $600 million in foreign exchange reserve accounts – the world's largest such cash pile after those of China and Japan – Russian companies and banks built up foreign-currency debts on nearly the same scale (Pirani 2010:98).

The result was a surge in private debt which ripples on today, affecting the capacity of the Russian economy to make productive investments and grow sustainably, while its vulnerability to oil shocks continued. Russia is thus extremely fragile (in 2009, the first year of the crisis, GDP fell by 8.9%), and nothing shows this better than capital flight. With the outbreak of the global financial crisis, net inflows were surpassed in value by capital flight in the last quarter of 2008 alone – in other words, the net gains of the previous two years disintegrated in just weeks. Capital flight, the worst effects of which Moscow is only just able to control through a recourse to foreign reserves and surgical forced shut-downs of the stock market, has brought turbulence to the Russian economy time and again since 2008 (with the war in Georgia, the global crisis and, more recently, the conflict in Ukraine and sinking international prices for oil). Officially, since the global downturn, capital flight has reached US$335 billion; in the region of US$80 billion had left the country by 2014 alone, and the continued effects of sanctions and the current drain in the value of the rouble mean we can expect even higher levels into 2015 (Dawisha 2014:8).

Russia, as an emerging economy, remains exceptional within the BRICS. Its